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The Institutionalization of Rebellion: Why Crypto and AI Are Winning

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I remember the first time I sat down to try to understand crypto. It was around the same time in 2013 that I had started diving into futuristic books and articles to understand how the digital world would eventually merge with the traditional one. Because this was still the pre-podcast era, I struggled to find something that could both teach me and hold my interest. But what immediately resonated with me wasn't the coins or the tokens, it was the blockchain technology itself. It revealed just how much better and more efficient our lives could be without all the middlemen.

At its core, blockchain isn't just about decentralization, it's about disintermediation. It removes the layers of intermediaries that have embedded themselves into every transaction in modern life: payment processors, clearinghouses, title companies, escrow agents, and even lawyers and accountants. These actors exist to provide trust where it's expensive and inefficient to build. Blockchain replaces that need with code. It enables programmable trust, verifiable, auditable, and automated. That means faster settlement, lower costs, and fewer points of failure. In a world where nearly every economic interaction, buying a home, issuing debt, settling a trade, requires friction, blockchain offers an infrastructure that is cheaper, faster, and more transparent. And now, you can clearly see how AI agents will work alongside this infrastructure to automate decision-making, manage transactions, and remove even more friction from the system. An AI agent interacting with smart contracts doesn't just replace a middleman, it replaces layers of legacy bureaucracy. As inflation remains sticky and services continue to feel bloated, the logic behind this shift only grows stronger. This isn't just a technological upgrade, it's an economic inevitability, now powered by both blockchain and AI.

What's happening now isn't just technological progress, it's what Joseph Schumpeter called *creative destruction*: the relentless force within capitalism that dismantles the old to make room for the new, until eventually the system begins to cannibalize itself. Blockchain and AI, especially in the form of autonomous agents, aren't just streamlining inefficiencies, they're tearing at the foundation of how the economy has been structured for centuries. For generations, capitalism has operated on a pact between labor and capital: one provides effort, the other provides funding, and value is created in the middle. But as Leopold Aschenbrenner argued in his June 2024 paper, AI is poised to unravel this pact by replacing labor entirely, not just physical labor, but cognitive labor once thought to be irreplaceable. Now, combined with blockchain's programmable trust and disintermediation, we're entering a new phase where efficiency replaces employment as the driving force of economic progress. As Schumpeter warned, the biggest threats to capitalism often come from within its own engine of innovation.

So the technology made sense to me. But one of the main reasons I resisted jumping into crypto and Bitcoin early, despite grasping the fundamentals, was the belief that decentralization would never be allowed to scale. The three pillars of capitalism, the government, the banks, and the corporations, would surely unite to crush or co-opt anything that tried to work around them. In particular, the U.S. government, with its long history of defending the primacy of the dollar and its financial institutions, seemed unlikely to ever embrace a system that sidesteps gatekeepers and redefines the architecture of money. Crypto, in its essence, felt like a rebellion too pure to be permitted.

Yet here we are. In a matter of months, the landscape has radically shifted. Stablecoins are no longer fringe experiments; they're now central to sweeping bipartisan legislation. Bitcoin, once treated as an enemy of the state, is being positioned, by the state itself, as a strategic asset. And a 160-page Digital Asset Policy Report from the White House makes clear: the U.S. government isn't trying to shut down crypto anymore, it's trying to steer it. This is no longer just a technological story. It's a political turning point.

For years, the U.S. trailed behind the rest of the world on crypto policy, caught in a purgatory of regulatory ambiguity and partisan gridlock. But July 2025 marked the breaking point. As *Axios* aptly put it last week, we're "finally getting started." In quick succession, Congress passed the GENIUS Act, which sets reserve and audit requirements for stablecoins, and the CLARITY Act, which defines the regulatory perimeter between the SEC and CFTC while finally codifying how digital assets should be treated. These were not symbolic measures. They passed with broad bipartisan support, reflecting a seismic shift in how lawmakers perceive crypto, not as a threat to the system, but as an inevitable part of its evolution. At the same time, the White House released a sweeping Digital Asset Policy Framework, outlining a strategic plan to integrate crypto into the U.S. financial and innovation ecosystems. For the first time, the federal government isn't fighting crypto's momentum, it's institutionalizing it.

Just weeks earlier, the administration had unveiled its AI Action Plan, a parallel federal initiative aimed at positioning the U.S. as the world's dominant AI power. The plan included substantial funding for foundational research, incentives for infrastructure buildouts, and a regulatory framework for ethical deployment, all wrapped in the language of national security urgency. Like the crypto bills, it marked a shift from passive oversight to active industrial policy. AI, like crypto, was no longer a fringe experiment; it had become a matter of strategic relevance. Two of the most disruptive forces of the century, once viewed as existential threats to government control, were now being accelerated by that very same government.

While both crypto and AI are transformative, crypto is uniquely positioned in how it disrupts both technology and politics simultaneously. There are historical parallels; most technological revolutions, including what we're witnessing now with AI, have upended industries, jobs, or trade. But very few have directly challenged the instruments of government power: money, regulation, and sovereignty. Crypto does all three. It isn't just creating new products or services, it's cultivating a new political constituency and forcing a redefinition of financial authority. And unlike past innovations that waited for Washington to catch up, crypto showed up with its own rules, its own community, and its own capital, demanding recognition, not permission.

Throughout history, there have been moments when technology and policy collide, but rarely do they do so with such immediacy and consequence. The rise of electricity reshaped industry. Oil redefined geopolitics. The internet transformed communication, commerce and eventually the weightings of global stock markets. But none of these innovations directly threatened the core functions of government the way crypto does. Crypto doesn't just innovate; it competes with the state itself, on money, on authority, on borders. Like the debates around the gold standard in the early 20th century, it reopens foundational questions about who controls value and how trust is established. Yet unlike gold or oil, crypto arrived with a grassroots movement attached to it. It was populist, viral, and wealthy, an online-native voting bloc that suddenly mattered. And in 2025, the political system finally had to take notice.

The political realignment around crypto didn't happen because of a sudden ideological shift, it happened because it had to. After years of dragging their feet, Democrats found themselves increasingly out of step with younger, tech-native voters and entrepreneurs who saw crypto not as a threat but as an opportunity. Campaign donations told the story just as clearly: crypto PACs and industry groups poured over \$245 million into the 2024 and 2025 election cycles, and Republicans were winning the race for alignment. The GENIUS and CLARITY Acts passing with broad Democratic support wasn't an endorsement of decentralization, it was an admission that ignoring the movement was no longer politically viable. For the first time, crypto had outgrown its fringe label and forced its way into the center of the policy agenda.

At the same time, what's perhaps even more shocking is who else is now in the tent. Crypto began as a rebellion against the excesses of Wall Street and the erosion of trust in banks. It was the answer to too-big-to-fail and too-slow-to-change. But now we're watching the very institutions it sought to disrupt begin to embrace it, not reluctantly, but strategically. JPMorgan, Citi, and Goldman Sachs are experimenting with stablecoin settlement, tokenized treasuries, and blockchain-based trading. Even many of the CEOs of the banks and asset managers have gone from publicly speaking out against Bitcoin and now are embracing it. The establishment isn't just tolerating crypto, it's onboarding it.

This creates a tension that is now core to the crypto narrative. The ecosystem was built on ideals: decentralization, self-custody, censorship resistance. But mass adoption has a way of sanding down ideology. To scale, crypto must interface with regulators, financial institutions, and existing rails. That brings credibility, but also compromise. Stablecoins, once seen as a gateway drug to financial freedom, are now being wired into the banking system. Bitcoin is owned more by

ETFs and asset managers than by early retail adopters. The question is no longer whether crypto will be accepted, it's whether it can be accepted without losing what made it powerful in the first place.

And yet, maybe this is the only way disruption truly takes hold. Revolutions that succeed don't stay in the streets, they enter the halls of power. What we're witnessing now is not the collapse of the crypto dream, but its institutionalization. It's messy, compromised, and slower than anyone wanted. But it's real. The U.S. has moved from resistance to reluctant partnership. And that means the future, of money, of policy, of financial architecture, is no longer hypothetical. It's being written, in code and in law, at the same time.

But what's coming next won't be slow. AI is compounding at an exponential rate, and the shift from passive tools to autonomous agents marks the start of recursive learning, where intelligence improves itself without human intervention. Once that feedback loop clicks into place, disruption doesn't just grow, it detonates. And here's the twist: both crypto and AI, once seen as existential threats to the status quo, are now receiving tailwinds from the very governments and institutions they sought to displace. The state is funding the research. The legislature is passing the bills. What began as outsider innovation is now moving through the bloodstream of the system, rewriting how trust is built, how value is exchanged, and soon, how decisions are made. If creative destruction was capitalism's engine, this new alliance of AI and crypto is its breakaway acceleration. The system isn't just evolving. It's speeding toward a threshold where it may no longer be able to contain the change it has authorized.

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